

OPEN pitch deck

PITCH — OPEN — VERDICT

ADJUDICATED 2026-08-08 — DECLINE both directions: no long at 3.70x book with negative cash carry after \$29M/quarter of property-financing interest and a crowded meme shareholder base; and no short, because the borrow and the squeeze risk make betting against it a losing trade even if we are right about the business.

What we believe

Opendoor buys houses with borrowed money, holds them, and resells them. Today it owns about \$1.85bn of houses financed with about \$1.77bn of asset-backed debt — roughly 96 cents of debt against every dollar of house. The equity slice under the inventory is about \$79M, or 4.3%. A 5% move in home values is larger than that cushion.

The company's headline profit measure ("contribution profit") is calculated *before* the interest it pays to finance those houses. Last quarter contribution profit was \$51M and the interest bill was \$29M. So the margin the company markets is roughly double the margin it actually earns. On the bottom line the quarter was a \$162M net loss.

The direction of travel in dollars is down, not up. Revenue was \$883M versus \$1,567M a year ago (−44%). Contribution profit was \$51M versus \$69M (−26%). Adjusted EBITDA was \$(4)M versus \$+23M. The percentages improved; every dollar figure shrank. Meanwhile the company bought 4,378 homes and sold 2,339 — it is re-accelerating purchases into 6.66% mortgage rates.

The stock is about \$3.36–\$3.49 against book value of \$914M and 971,091,050 shares — roughly \$0.94 of book per share. That is 3.70x book for a business that loses money after its own funding costs. The stock is also still about 6.6x above where it traded in June 2025 before a retail squeeze took it from \$0.53 to \$7.97.

Our conclusion: this is not a company about to go bust, and it is not a company worth 3.70x book. It is a levered house-flipper priced on attention. We do nothing.

What the market believes

The market believes Opendoor is inflecting. Gross margin rose from 8.2% to 9.7% year over year and contribution margin from 4.4% to 5.8%. Management has guided publicly to a Q3 contribution margin of 4–4.5% and framed the quarter as broadly improving. A large retail following has adopted the name, and management has just financed off that enthusiasm: on August 12, 2026 the company agreed to sell **\$650M of 0.00% convertible senior notes due 2030** — zero cash coupon, funded entirely by the option value of an elevated share price ([8-K, 2026-08-13](#)).

That is a real bull point, and we should say it plainly: a company that can raise \$650M at a 0% coupon does not have a near-term financing problem.

Why we might have edge

Three things the tape appears not to be pricing:

1. **The advertised margin excludes the biggest cost.** Contribution margin is stated before property financing interest. Deduct the \$29M/quarter and the economics are close to break-even at best. Most coverage of this name quotes the pre-interest figure.
2. **The leverage is at the asset level, not the corporate level, so it hides in plain sight.** Screens that look at “corporate debt vs cash” see \$197M of converts against \$896M of cash and conclude the balance sheet is fine. The \$1.77bn of warehouse and term facilities — including \$350M at a 12.50% fixed rate — sits one layer down. The facilities carry borrowing-base deficiency provisions: if collateral value falls or homes age, the company must post more houses or repay. That pulls corporate cash into the asset book without any “wall” ever appearing on a maturity schedule.
3. **Percentages up, dollars down.** Every improving statistic is a ratio. Every declining statistic is a dollar. That asymmetry is exactly the shape of a shrinking book with better unit selection, not a growing business.

Why it might be priced in

Honestly: mostly, yes.

- The Q3 inflection is *publicly guided*. There is nothing to front-run.
- The leverage is disclosed in the 10-Q debt note. We did not find it; we read it.
- The name is heavily covered and heavily owned by a retail base that is not valuation-sensitive. Our formal crowding read was permission-blocked in both benches — we are inferring crowding from the price history, not measuring it.
- Our bearish view has no catalyst we control. The mechanism (negative carry, borrowing-base top-ups) grinds; it does not break.

Which is why the answer is “no position” rather than “short.”

What we checked ourselves

claim	how checked	found	confirmed?
“No maturity wall — \$197M debt vs \$896M cash, 4.5x covered” (our own triage)	10-Q debt note	Total debt is \$1,963M, not \$197M: revolvers \$691M, term \$725M, mezzanine \$350M at 12.50%, plus \$197M converts. Net debt ≈ \$1.07bn.	Partly. Our red bench called this a solvency refutation and was wrong. Blue showed the facilities are non-recourse to the

claim	how checked	found	confirmed?
			parent and mature Jul-2027–Feb-2029. It is an economics problem, not a solvency problem. The adjudication sides with blue.
Houses are financed at ~96% of their value	10-Q	\$1,845M inventory vs \$1,766M asset-backed debt = 95.7%; ~\$79M cushion; deficiency language requires posting more properties or partial repayment	Yes
Business is improving	Q2 earnings release (EX-99.1)	Revenue –44%, contribution profit \$51M vs \$69M, Adjusted EBITDA \$(4)M vs \$+23M; margin <i>percentages</i> up	Yes — dollars down, ratios up
Quarterly financing interest	10-Q	\$29M/quarter (~\$28M outside the converts)	Our red bench said \$24M. Blue corrected it upward — the error understated the bear case
Inventory write-down reserve	10-Q	\$20M, or 1.1% of inventory, flat vs December	Our red bench said \$14M / 0.8%. Blue corrected it
Price to book	Cover share count × price	971,091,050 shares × ~\$3.49 = \$3.38bn vs \$914M book = 3.70x	Yes. Our red bench printed 3.75x off a slightly different tape print. Also: our own evidence pack’s share count was stale — it carried 729.5M diluted shares from mid-2025 against an actual 971.1M on the 10-Q cover, a 240M-share miss
Q3 margin guide is “sequentially down”	Release	Guide 4–4.5% vs 5.8% just printed — literally true	Partly. Our red bench ignored seasonality. Q1-2026 was 4.4%, so the guide is flat against Q1 and down against a seasonal-peak Q2. Red’s rhetoric overstated a real point
Share count is complete	10-Q	Existing 2030 notes convert at \$1.57 — \$62M deep in the money, ~39.5M shares (~4%) of latent dilution	Our red bench’s share math missed this. Blue found it
Cash is fungible	10-Q	\$230M of net assets are restricted from transfer to the parent — the \$896M is less usable than the headline	Yes
The August 2026 financing	8-K dated 2026-08-13, in the evidence pack	\$650M of 0.00% convertible senior notes due 2030 , subscription	Neither bench addressed this, and it was in the pack both

claim	how checked	found	confirmed?
		agreements signed Aug 12, indenture expected on or around Aug 19	benches received. It does not change price-to-book (converts are debt), and it does not change net debt (cash and debt rise together), but it materially improves liquidity, adds zero cash interest, and adds unquantified dilution. It is the single largest gap in this court
The August 15 convert maturity	10-Q + adjudication	\$135M of 0.25% converts matured 2026-08-15, covered ~6.6x by cash — a funded non-event	Yes, and it has now passed

PROPOSED ENTRY BANDS

No entry. No position, long or short. Size: 0% of book. There are no adds and no trims, because there is nothing to add to or trim.

The court defines only reopen triggers, and these are reproduced exactly as adjudicated — we have not invented levels around them:

- **price $\leq$ ~1.2x book (~\$1.15) → revisit**
- **Q3 (~early Nov): contribution dollars up YoY after property-financing interest → revisit**

Supporting arithmetic, so the reader can check the level: book value \$914M $\div$ 971,091,050 shares = **\$0.94 of book per share**; 1.2x that is **\$1.13**, which the court rounds to ~\$1.15. From \$3.36 that is a **–66%** move. We are not predicting it; we are stating the price at which the leverage and the negative carry would be paid for rather than paid up for.

Explicitly **not** a reopen trigger: a higher margin *percentage*, a rising share price, or another financing at a low coupon.

Catalyst dates: - 2026-11-05 — Q3 2026 print. Derived from a data vendor, **not confirmed by a company press release.** Treat as “~early November” until the company names it. - **~2026-08-19 — indenture expected to be dated for the \$650M 0.00% convertible notes due 2030.** The 8-K says “expected to be dated on or around August 19, 2026,” so this is a company expectation, not a fixed date.

Why no short, stated plainly: the borrow is expensive, the retail base is squeeze-prone, the company has just demonstrated it can raise \$650M at a 0% coupon, and management is publicly guiding to an

inflection. Being right about the economics and wrong about the flow is how a bear loses money in this name.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.15 (deck-provisional: $\sim 1.2 \times$ book ($\$0.94 \text{ book/share} \times 1.2 = \1.13 , court-rounded to $\$1.15$) — the level at which the 96% asset)
- filing watch: 8-K until 2027-02-14 (deck-provisional: amendment, extension, or advance-rate redetermination on the senior revolving/term/mezzanine facilities)
- dated pack OPEN|2026-11-05: OPEN Q3: HIT = contribution dollars up YoY AND QoQ after deducting property financing interest; aging $< 15\%$ homes > 120 d. RESOLVE: python3 -m
- dated pack OPEN|2026-08-19: OPEN: indenture expected to be dated for the $\$650\text{M}$ 0.00% convertible senior notes due 2030 (8-K says ‘on or around’) (date confirmed=False)

What remains unverified

- **The $\$650\text{M}$ zero-coupon convert’s terms.** Conversion price, premium, capped-call, and net dilution are unknown to us. Neither bench examined the filing. Until we read the indenture, our share count and therefore our price-to-book are provisional.
- **Inventory aging.** We never obtained the percentage of homes held more than 120 days. The reopen test depends on it.
- **Crowding, formally.** Tool access was blocked for both benches. Declared, not skipped.
- **The Q3 print date.** Vendor-derived, not company-confirmed.
- **Warrant dividend and CEO make-whole details.** Corroborated indirectly from the $\$158\text{M}$ gap between $\$(4)\text{M}$ adjusted EBITDA and the $\$(162)\text{M}$ net loss; not re-fetched from the primary source.
- **Seasonality.** Blue flagged that the Q3 margin guide is flat versus Q1 rather than simply “down,” but the seasonality model could not be run this session. The magnitude of the seasonal effect is an assertion, not a measurement.

Primary source for the balance-sheet and interest figures above: [Opendoor Technologies Q2-2026 Form 10-Q](#). Secondary primary source for the quarter’s income statement: [EX-99.1 earnings release](#). Both were reached through a read proxy — sec.gov returned 403 to direct fetches from both benches; declared, not skipped.

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